

BUILD YOUR SKILLS: PAYING FOR COLLEGE

Go to www.bankrate.com/calculators/college-planning/loan-calculator.aspx, or another student loan calculator, and use it to complete the following exercises. The answers to the questions can be found in the back of the book.

1. Let's say you graduate with \$28,000 in student debt with an interest rate of 4.5%. If you want to pay your debt off in 10 years, how much will you need to pay per month? How much will you pay in total interest?
2. If you have the same debt and interest from exercise 1, but want to pay it off in five years, how much will you need to pay per month?
3. If you have the same debt and interest from exercise 1, but pay an additional \$30 per month, how much will you save in total interest over 10 years? (You will need to choose "add extra payments" on the calculator to complete this exercise.)
4. If you are considering going to college, go to the websites of some schools you may be interested in and find their cost of attendance (or you can google "[name of school] cost of attendance"). Examine these costs to get an idea of what your student debt may look like upon graduation.